

All cryptoassets are not alike. There needs to be further clarity and understanding of these assets by government agencies and potentially a new set of regulations (including tax treatments) that recognize these differences. For now, the IRS and the CFTC view these assets differently, and this will surely necessitate further clarifying rulings by the IRS to provide appropriate direction. Don't expect this to happen quickly; it took the IRS over 15 years to provide tax guidance on derivatives.³³

For now, the course to take regarding tax treatment of these assets should rest with the investor and their accountant. The IRS considers them property, and therefore recording a gain or a loss in a similar manner to equities or bonds seems the prudent path to take.

Neither of us is an accountant, and we can't forecast how governmental regulators will ultimately reconcile the issues. Regarding taxes, the first thing investors should do is to discuss any bitcoin or cryptoasset activities with their accountant and lean on the accountant for information and advice. Second, and probably most important, is to keep records of all activities with these assets (this should include not only buys and sells, but if an asset was used to purchase a good or service).³⁴ It can be as simple as maintaining a paper-based or Excel spreadsheet that tracks the date and price of an asset when acquired and the same information when sold or when purchases are made with that asset. In time, more detailed reporting tools and resources will be available from the more reputable exchanges and from startups creating tools